

Variance

Average income in the United States

Background

You have the annual personal income of 11 people from the USA. You have the mean income from the exercise on mean, median and mode

Task 1

Decide whether you have to use sample or population formula for the variance

Task 2

Calculate the variance of their income

Task 3

Generally, what does this number tell you?

Annual income	Mean	
\$ 62,000.00		\$ 189,848.18
\$ 64,000.00		
\$ 49,000.00	Sample Variance	\$ 133,433,409,536.36
\$ 324,000.00		
\$ 1,264,000.00		
\$ 54,330.00		
\$ 64,000.00	Sample variance (without the outliers)	\$ 39,161,544.44
\$ 51,000.00		
\$ 55,000.00		
\$ 48,000.00	Incomes vary greatly about the mean	
\$ 53,000.00		

Skewness

3.058906326

